BuilderHQ

PROJECT OWNER EDITION

VOL. 01 — 2026

A FIELD MANUAL FOR HOMEOWNERS

The *Melbourne* Build Brief.

What every project owner should know before signing with a builder — costs, contracts, and the conversations no one tells you to have.

A research-backed guide to navigating residential construction in Victoria. Independent. Practical. Written for the person who actually has to live with the result.

INSIDE

COST BENCHMARKS · RED FLAGS · QUOTE ANATOMY
CONTRACT ESSENTIALS · BUILDER VETTING · TENDER PROCESS

Issue One

Inside this *issue*.

Eight chapters. One goal: help you make the right call before you commit hundreds of thousands of dollars.

01 CHAPTER ONE
THE LANDSCAPE

The state of *residential building* in Victoria.

Building a home in 2026 is harder, more expensive and more uncertain than it has been in two decades. Understanding why isn't optional — it's the difference between a project that finishes and one that doesn't.

Between 2020 and 2025, residential construction in Victoria absorbed three of the most disruptive shocks in modern memory: a global pandemic, a supply chain crisis, and the largest wave of builder insolvencies the state has ever recorded. The dust has barely settled. If you're planning a build right now, you are stepping into a market that punishes the unprepared.

2,975+	37%	14 weeks
Australian construction firms entered insolvency in FY24, with Victoria accounting for the largest share	Average increase in residential construction costs in Melbourne from 2020 to 2025	Average delay on Victorian residential projects exceeding original contract dates

THREE FORCES RESHAPING THE MARKET

Material costs have stabilised — but at a new normal

After peaking in 2022, prices for timber, steel and concrete have come down from their highs. They have not, however, returned to pre-2020 levels. Today's "normal" pricing is roughly 30 to 40 percent above where it was five years ago. Quotes you may have heard from friends or family who built before 2021 are no longer a reliable benchmark.

Builder margins are thinner than they look

Despite higher headline pricing, many residential builders are operating on margins of 8 to 12 percent — historically slim. This is the single biggest driver of insolvency: a builder who underquotes to win work, encounters a cost overrun, and has nowhere to absorb it. When a builder fails mid-project, the homeowner is almost always the biggest loser.

Information asymmetry has never been wider

The average homeowner builds once or twice in a lifetime. The average builder runs dozens of projects a year. That gap in experience translates directly into cost. Owners who don't know what to ask for end up paying for what they're given.

> *The single most expensive thing a project owner can do is treat the cheapest quote as the best quote. In a thin-margin environment, the cheapest quote is usually the riskiest.*
>
> — INDUSTRY OBSERVATION, 2025

WHAT THIS MEANS FOR YOU

The takeaway is not that building in Victoria is a bad idea. Tens of thousands of homeowners complete successful projects every year. The takeaway is that doing it well requires more diligence than it once did. You cannot rely on a single quote. You cannot rely on a personal recommendation alone. You need a process — and that's exactly what the rest of this guide gives you.

WORTH KNOWING

The 2024 reform that changed everything

Victoria's **Domestic Building Contracts Act** was significantly amended in 2024, tightening protections for project owners — particularly around deposits, progress claims and dispute resolution. Most homeowners have never read it. We summarise the parts that matter on page 14.

What things *actually* cost in 2026.

A practical guide to current Melbourne pricing — based on aggregated quote data, industry benchmarks and conversations with builders and quantity surveyors across Victoria.

Before we get specific, a warning: **per-square-metre rates are dangerous shorthand.** They are useful for orientation and useless for budgeting. A simple 200 m² extension will not cost the same as a 200 m² extension with steelwork, double glazing, a butler's pantry and a pitched roof. Use the figures below to ground yourself, not to plan.

INDICATIVE BUILD COST RANGES — MELBOURNE, 2026

PROJECT TYPE	STANDARD ($/M²)	MID RANGE ($/M²)	PREMIUM ($/M²)
Single-storey renovation	$2,800	$3,800	$5,200+
Ground-floor extension	$3,200	$4,400	$6,000+
Second-storey addition	$3,800	$5,000	$7,000+
New single-storey home	$2,600	$3,600	$5,500+
New double-storey home	$3,000	$4,200	$6,500+
Knockdown rebuild	$2,900	$4,000	$6,200+
Kitchen renovation only	$28,000	$55,000	$120,000+
Bathroom renovation only	$18,000	$32,000	$70,000+
Note: Excludes site costs, permits, and external works			**All figures GST inclusive**

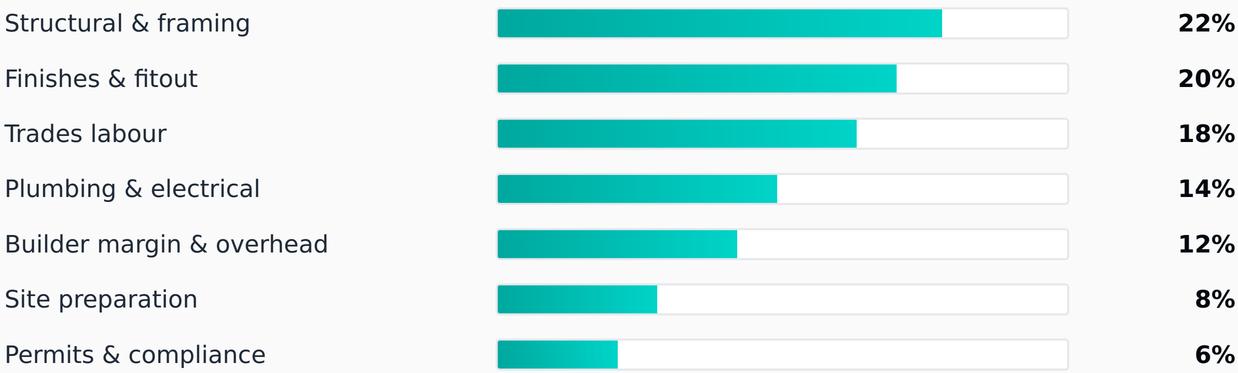
Ranges reflect Melbourne metropolitan pricing as of late 2025 / early 2026. Regional Victoria typically runs 8–15% lower for equivalent specification. Inner-city heritage suburbs (Fitzroy, Carlton, South Yarra) typically run 10–20% above mid-range due to access, permits and trade availability.

WHERE YOUR MONEY ACTUALLY GOES

The breakdown below shows where each dollar tends to land on a typical mid-range Melbourne renovation or extension. Knowing this matters: when a builder's quote allocates a wildly different proportion to one category, that's a signal to ask why.

TYPICAL COST BREAKDOWN — MID-RANGE EXTENSION

Where every $100,000 tends to land



SOURCE: BUILDERHQ ANALYSIS OF MELBOURNE RESIDENTIAL QUOTE DATA, 2024–2025

QUICK REFERENCE

The 15% rule

Always set aside 10–15% of your total build cost as a contingency, separate from your contract price. Variations, hidden site conditions, and design changes will eat into this. If you finish without using it — congratulations, you're in the minority.

THE COSTS MOST OWNERS FORGET TO BUDGET FOR

The contract price is rarely the final price. Below are the line items that catch first-time owners off-guard. Build them into your budget from day one.

HIDDEN COST	TYPICAL RANGE
Soil tests & site survey	$1,200 – $3,500
Town planning & permits	$3,500 – $15,000
Building permit & inspections	$2,500 – $6,000
Working drawings & engineering	$8,000 – $25,000
Energy rating report (mandatory)	$400 – $900
Connection fees (water, power, gas)	$1,500 – $8,000
Landscaping & external works	$15,000 – $80,000+
Temporary accommodation (if needed)	$2,500 – $6,000 / month
Furniture, blinds, appliances	$10,000 – $50,000+

68%

of Victorian residential projects exceed their original contract price by more than 10%. Most of the overrun comes from variations, allowances and items that were never included in the original quote.

SOURCE: INDUSTRY ANALYSIS, 2024

ALLOWANCES — THE SILENT BUDGET KILLER

An "allowance" (also called a "PC sum" or "Prime Cost item") is a placeholder figure for something not yet chosen — tapware, tiles, flooring, the kitchen, appliances. The builder includes a number so the contract has a total. If you spend more than the allowance — which most owners do — **you pay the difference, plus the builder's margin on top.**

Two quotes can look identical on paper but be tens of thousands of dollars apart in reality, simply because one builder allowed $5,000 for tapware and the other allowed $1,500. The cheaper quote isn't cheaper. It's just hiding the truth until you start choosing fittings.

ACTION ITEM

Always ask: what's the allowance, and what does it actually buy?

Before signing, walk through every allowance line by line. Ask the builder to show you what their figure realistically covers. If their tile allowance is $40/m²$ and you've been Pinterest-ing $120/m²$ tiles, you have a $30,000 problem you don't yet know about.

How to read a *builder's quote*.

A builder's quote is a document of intent. The clearer it is, the more the builder has thought about your project. The vaguer it is, the more risk you're carrying.

Most owners receive a quote, scan the bottom-line number, and either celebrate or panic. This is the wrong way to read a quote. The number at the bottom is a function of every assumption above it. Change one assumption — the type of insulation, the brand of windows, the depth of footings — and the number moves materially.

THE ANATOMY OF A STRONG QUOTE

A professional, trustworthy quote will contain — at minimum — the following sections. Anything missing is something the builder has either not considered or is deliberately leaving open.

01 **Scope of works.**
A clear written description of what is being built, including dimensions, levels and materials. Vague scopes lead to disputes.

02 **Inclusions.**
Specific brands, models or product codes. "Quality fixtures" is not an inclusion. "Reece Posh Solus tapware in matte black" is.

03 **Exclusions.**
What the builder is explicitly not responsible for — landscaping, council fees, fencing, demolition. These often surprise owners.

04 **Allowances (PC sums).**
Placeholder dollar figures for items not yet chosen. Each one is a future negotiation.

05 **Provisional sums.**
Estimates for work whose extent isn't yet known — typically site works, footings, rectification.

06 **Trade-by-trade breakdown.**
A line for each major trade: framing, plumbing, electrical, plastering, tiling, painting. Without this, you have no way to compare quotes meaningfully.

07 **Programme & timeline.**

An indicative start date and total duration in weeks. Honest builders will note their assumptions.

08 **Payment schedule.**
A clear progression of stage payments tied to physical milestones, not calendar dates.

09 **Validity period.**
Most quotes are valid for 30 to 60 days. After that, prices may move.

10 **Builder details.**
Full registered business name, ABN, CDB-U or DB-U registration number, contact person.

> *A quote without a trade-by-trade breakdown is not a quote. It's a number. And a number you cannot interrogate is a number you cannot trust.*

COMPARING QUOTES PROPERLY

The single most common mistake project owners make is comparing two quotes by their headline figure. If Builder A is $30,000 cheaper than Builder B, the question is never "*why is A cheaper?*" — the question is "*where is the difference hiding?*"

What looks cheaper on paper

- ✕ Lower allowances (you pay later)
- ✕ Cheaper inclusions (lower-spec brands)
- ✕ Items moved to "exclusions"
- ✕ Thin contingencies for site works
- ✕ Aggressive timelines that slip
- ✕ Lower margin (insolvency risk)

What actually costs less

- ✓ Genuinely efficient build method
- ✓ Stronger trade relationships
- ✓ Better project planning
- ✓ In-house capability vs sub-out
- ✓ Supplier discounts passed on
- ✓ Lower overhead structure

The only reliable way to know which kind of "cheaper" you're looking at is to compare line-by-line, allowance-by-allowance, exclusion-by-exclusion. This takes time. It's the most valuable hour you'll spend on your project.

The *twelve* red flags.

Most building disasters are not random. They follow patterns — and the patterns are visible early, if you know what to look for.

Every story of a project gone wrong contains warning signs that, in hindsight, were obvious. The list below is a composite of patterns identified across hundreds of disputed Victorian residential projects. If you see two or more of these, slow down. If you see four or more, walk away.

The quote is a single page.
Or worse, a one-line email with a total figure. A real quote for a residential project is 6–20 pages. A short quote means short thinking.

Pressure to sign quickly.
"I have another job lined up if you don't decide this week" is a sales tactic, not a programming reality. Good builders have pipeline. They don't pressure.

Deposits above the legal limit.
In Victoria, the maximum deposit on a domestic building contract is 10% for projects under $20,000 and 5% for projects over $20,000. Anyone asking for more is breaking the law.

Cash discount offered.
An offer to do work "off the books" for cash means no contract, no insurance, no warranty, no recourse. Walk away. Every time.

Reluctance to provide registration details.
Every Victorian residential builder must be registered with the Victorian Building Authority. The number should be on every quote. If you have to ask for it, ask twice.

No domestic building insurance mentioned.
For projects over $16,000, builders are legally required to provide Domestic Building Insurance (DBI). No mention of it is a deal-breaker.

Refusal to provide references.
A builder who has done good work in the last 12 months will gladly hand over the contact details of two or three recent clients. Reluctance here is the loudest warning sign on this list.

"Trust me" instead of paperwork.
Verbal agreements, handshake deals, and "we'll sort that out later" are all the same thing: future disputes you have no way to win.

Vague or open-ended timelines.
"Should take 4 to 8 months" is a guess, not a plan. Insist on a written programme with key milestones.

Suspiciously low quote.
If one quote is materially cheaper than two others for the same scope, the builder has either misunderstood the job, underquoted to win it, or is planning to make the difference back through variations.

No physical office or trade address.
A residential builder with no fixed business address is harder to find when something goes wrong. Verify they have somewhere you can physically attend.

Recent name change or new entity.
A builder operating under a brand-new company name with no history may be reasonable — or they may be a phoenixed version of a previously failed business. ASIC and VBA records will tell you which.

Vetting a builder, *properly*.

Twenty minutes of due diligence saves more disputes than any contract clause ever has. Here are the five checks every project owner should do — without exception.

THE FIVE-CHECK PROTOCOL

1

5 MINUTES · FREE

VBA registration check

Search the builder's name and registration number on the Victorian Building Authority public register. Confirm they hold a current CDB-L, CDB-U or DB-U registration appropriate to the value and scope of your project. Note any disciplinary history. This is non-negotiable.

2

5 MINUTES · FREE

ASIC company search

Look up the company on the ASIC register. Check the date of incorporation, the directors, and whether there are any connected entities that have been deregistered, wound up or placed into liquidation. A builder with three failed companies in the last five years is a builder you do not want.

3

10 MINUTES · FREE

Reference calls — past two clients, not curated ones

Ask for the contact details of the last two clients, not the showcase clients. Call both. Ask: did they finish on time? Did they finish on budget? How were variations handled? Would you use them again? The answer to the fourth question matters most.

4

10 MINUTES · FREE

Insurance certificate verification

Ask for a certificate of currency for both Public Liability ($20M minimum) and Domestic Building Insurance for your project. Verify these are current and that the project address is named on the DBI certificate before any work starts.

5

15 MINUTES · FREE

Site visit — see active work, not finished work

Photographs in a portfolio show finished, photographed projects. Visiting an active site shows you how a builder operates day-to-day: site safety, cleanliness, organisation, the demeanour of the trades on site. This is the most underrated check on this list.

PRO TIP

The question that reveals everything

When speaking to a previous client, ask: "*What's the one thing you wish you'd known before signing with them?*" The answer — whether it's nothing, or a long pause followed by a story — is the most valuable single piece of information you can collect.

Contracts: what to *sign*, what to *strike*.

A residential building contract is the single most important document in your project. It is also the document most owners spend the least time understanding.

In Victoria, residential building work over $10,000 must be governed by a written Domestic Building Contract under the **Domestic Building Contracts Act 1995**. The two most common templates are the HIA contract and the Master Builders contract. Both are drafted by industry bodies. Both contain provisions that — left unamended — favour the builder more than the homeowner.

You are entitled to negotiate. You are entitled to amend. You are entitled to ask for changes. Most owners don't, because they don't know they can.

CLAUSES TO READ CAREFULLY — AND OFTEN NEGOTIATE

01 **Progress payment schedule.**
Payments should be tied to clearly defined physical milestones (e.g. "completion of frame stage") not to time intervals. Verify each milestone before paying. Never pay ahead of work completed.

02 **Variations clause.**
How are variations priced, approved and documented? Insist on written variations only, with itemised pricing, signed by both parties before work proceeds.

03 **Liquidated damages for delay.**
Standard contracts often have a low or nil daily rate for builder delay. Negotiate a meaningful figure ($150–$500 per working day is common for residential).

04 **Defects liability period.**
Standard is 90 days. Negotiate to 180 days where possible. Statutory warranties extend further (6.5 years structural in Victoria) but the defects period is when issues are easiest to resolve.

05 **Practical completion definition.**
What does "practical completion" actually mean? It triggers your final payment. The definition should require all listed items, certificates and approvals to be delivered before the trigger is pulled.

06 **Dispute resolution.**
The default path is Domestic Building Dispute Resolution Victoria (DBDRV). Confirm your contract aligns with this — not a private arbitration clause that benefits one party.

07 **Cost escalation.**
Some contracts include "rise and fall" clauses allowing the builder to pass on material price increases. In a fixed-price contract, this should be explicitly excluded or capped.

THE SINGLE MOST IMPORTANT RULE

Never sign a contract you haven't had reviewed

A construction lawyer's review of a residential building contract typically costs between $500 and $1,500. On a $400,000 build, that's a third of one percent of the contract value. There is no rational scenario where skipping this saves you money.

THE 2024 REFORMS — WHAT CHANGED

Recent amendments to Victoria's Domestic Building Contracts Act tightened protections for homeowners in three key areas: **maximum deposit limits** (5% for contracts over $20,000), **progress claim transparency** (builders must now provide more detail with each claim), and **cooling-off periods** (5 business days from receipt of signed contract). Make sure your contract reflects the current legislative position, not an outdated template.

The tender process, *done right*.

Inviting builders to quote — and doing it well — is the most powerful piece of leverage a project owner has. It is also the piece most often skipped, rushed, or done badly.

The reason most homeowners get a single quote is simple: they don't know how to ask three builders to quote without offending the first builder, the second builder or themselves. So they pick one, accept the number, and hope. Hope is not a procurement strategy.

WHY A COMPETITIVE TENDER MATTERS

17%	3	$48,000
Average price difference between the highest and lowest quote on the same project scope	The optimal number of builders to invite to tender — fewer means less leverage, more means diminishing returns	Median cost difference between highest and lowest quote on a $400,000 Melbourne renovation

HOW TO RUN A TENDER THAT ACTUALLY WORKS

01 **Prepare a single, clear scope document.**
Every builder should be quoting on the same drawings, the same specification, the same allowances. Otherwise you're comparing apples to a different fruit entirely.

02 **Set a realistic timeframe.**
Two to three weeks is reasonable. Less than a week tells builders you don't value their time. More than a month tells them you're not serious.

03 **Provide a standardised quote template.**
Ask every builder to return the same line items. This is the single highest-leverage thing you can do — it makes comparison trivial.

04 **Be transparent about competition.**
Tell builders they're one of three. Good builders respect this. Builders who object are the ones who rely on lack of competition to win.

05 **Review quotes side-by-side, line-by-line.**

Build a comparison spreadsheet. Identify which builder allowed what for each item. Look for gaps and outliers.

06 **Interview the top two.**
Price isn't everything. Sit down with the two strongest quotes and ask the same set of questions. The answers will tell you who you actually want to work with.

07 **Negotiate from a position of clarity.**
If Builder A is your preferred but Builder B is cheaper on five line items, that's a conversation, not a deal-breaker. Give Builder A the chance to respond.

WORTH KNOWING

The "lowest, middle, highest" rule of thumb

Of three quotes on the same project, the lowest is often the riskiest, the highest is often over-engineered, and the middle is usually closest to fair value. This is not a rule — it's a starting point. The work is in understanding *why* each builder priced where they did.

> *Running a competitive tender doesn't mean playing builders against each other. It means getting honest pricing from three professionals on the same scope — so you can choose with information instead of hope.*

The final *checklist*.

Eighteen things you should be able to tick off before signing any building contract. If you can't, you're not ready. There's no prize for being first.

DOCUMENTATION

- ✓ **Detailed working drawings** — not concept sketches. Every dimension, level and detail you can possibly want.
- ✓ **Engineering drawings** — for any structural work, including beams, footings and steelwork.
- ✓ **Written specification** — every product brand, model and finish documented, not assumed.
- ✓ **Soil report and site survey** — completed and shared with all builders quoting.
- ✓ **Permits and approvals** — town planning approved, building permit ready or scoped.

THE BUILDER

- ✓ **VBA registration verified** — confirmed on the public register, current and appropriate to scope.
- ✓ **ASIC search complete** — no pattern of failed entities or recent name changes.
- ✓ **References checked** — at least two recent clients, both contacted, both asked the right questions.
- ✓ **Active site visited** — you've seen how they work, not just photos of finished projects.
- ✓ **Insurances verified** — DBI and Public Liability certificates of currency in your hand.

THE QUOTE & CONTRACT

- ✓ **Trade-by-trade breakdown** — provided and reviewed against at least two other quotes.
- ✓ **Allowances reviewed line by line** — every PC sum walked through with the builder.
- ✓ **Exclusions understood** — you know what isn't included and how you'll address each.
- ✓ **Payment schedule milestone-based** — no time-based payments, no excessive deposit.
- ✓ **Variations process documented** — written, itemised, signed before work proceeds.
- ✓ **Liquidated damages in place** — a meaningful daily rate for builder delay.
- ✓ **Lawyer review complete** — the contract has been read by a construction lawyer.
- ✓ **Cooling-off period understood** — you know your statutory rights to withdraw.

FINAL WORD

Nothing on this list is optional

If a builder pushes back on any item above — particularly the documentation, the references, or the contract review — that pushback is your answer. The right builder will welcome a prepared owner. They are easier to work with, more decisive, and less likely to dispute. Diligence isn't friction. It's the foundation of a good build.

A FINAL NOTE

Build with *information*, not hope.

Everything in this guide is what we wish every project owner knew before they started. We built BuilderHQ because, frankly, no one else was making it easy enough.

01

Get a free preliminary estimate

Upload your sketch plans and receive an AI-powered, trade-by-trade cost estimate within 12 hours. No obligation. No sign-up required.

02

Run a structured tender

Upload your project once. Receive competitive quotes from verified Melbourne builders. The structured comparison tool we describe on page 16 — built in, free to use.

BuilderHQ is an independent residential tendering platform built for Victorian project owners. We don't sell to builders. We don't take commissions on completed work. We exist to help homeowners make better-informed decisions before they sign a contract that defines the next 12 to 24 months of their lives.